

Chapter 16. Convertible Issues and Warrants

1. This point is well illustrated by an offering of two issues of Ford Motor Finance Co. made simultaneously in November 1971. One was a 20-year nonconvertible bond, yielding $7\frac{1}{2}\%$. The other was a 25-year bond, subordinated to the first in order of claim and yielding only $4\frac{1}{2}\%$; but it was made convertible into Ford Motor stock, against its then price of $68\frac{1}{2}$. To obtain the conversion privilege the buyer gave up 40% of income and accepted a junior-creditor position.

2. Note that in late 1971 Studebaker-Worthington common sold as low as 38 while the \$5 preferred sold at or about 77. The spread had thus grown from 2 to 20 points during the year, illustrating once more the desirability of such switches and also the tendency of the stock market to neglect arithmetic. (Incidentally the small premium of the preferred over the common in December 1970 had already been made up by its higher dividend.)